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INTRODUCTION

Cross-border mergers and acquisitions (M&A) allow firms to access new markets, capabilities and growth opportunities, but they also complicate the determination of target value. Unlike domestic transactions, cross-border acquisitions involve different currencies, institutional environments, accounting systems, legal regimes and information conditions. These differences affect both expected cash flows and the risk attached to them, challenging assumptions that are comparatively manageable within domestic markets. The valuation problem is therefore not simply to estimate what a target is worth, but to determine whether conventional valuation frameworks remain reliable when their underlying assumptions operate across jurisdictions.

Discounted Cash Flow (DCF), Comparable Company Analysis (CCA) and Precedent Transaction Analysis (PTA) remain central to corporate valuation and M&A practice (Damodaran, 2012; McDougall and Boyle, 2017). Yet their international application is contested. Schüler (2021) demonstrates how DCF can be extended to foreign-currency valuation, while Hitt, Harrison and Ireland (2004), Rossi and Volpin (2004) and Erel, Liao and Weisbach (2012) show that cross-border transactions are shaped by institutional and country-level differences. The resulting debate is therefore whether traditional methods are fundamentally inadequate internationally or whether their assumptions can be adapted without abandoning their theoretical foundations.

This review asks: **To what extent does the existing academic finance literature demonstrate that traditional valuation methodologies remain reliable in cross-border mergers and acquisitions, and which theoretical adaptations provide the most convincing solutions to the valuation challenges created by currency risk, institutional asymmetries and information inefficiencies?** The review argues that the literature provides stronger support for refinement than replacement: traditional methods remain conceptually useful, but their reliability becomes conditional on theoretically consistent treatment of international risks and imperfect information. The discussion establishes the assumptions of traditional methods, examines cross-border challenges, evaluates proposed adaptations, synthesizes competing perspectives, and identifies remaining gaps.

METHODOLOGY

This study adopts a structured critical literature review rather than an empirical research design. Literature was selected primarily from academic finance and international business research, supplemented by leading corporate finance texts and the Clifford Chance/Economist Intelligence Unit practitioner report where it provides evidence on practical M&A risks. Selection prioritizes relevance to cross-border valuation, theoretical contribution, methodological quality, and usefulness in explaining disagreements within the literature. Core sources include Damodaran (2012), McDougall and Boyle (2017), Schüler (2021), Hitt et al. (2004), Rossi and Volpin (2004) and Erel et al. (2012).

The review is organized thematically rather than chronologically or by an individual author. Contributions are compared according to their assumptions, treatment of international risk, theoretical consistency, and practical applicability. Particular attention is given to whether valuation problems arise from weaknesses in the models themselves or from uncertainty in estimating cash flows, discount rates, and market comparators. Practitioner evidence is used only to contextualize academic arguments. No primary data collection, econometric analysis, or empirical testing is undertaken.

ANALYSIS OF LITERATURE

3.1 Traditional Valuation Methodologies:

Traditional valuation methodologies provides the benchmark against which cross-border adaptations must be assessed. DCF estimates intrinsic value from expected future cash flows discounted at a rate reflecting their risk and opportunity cost (Damodaran, 2012). Its principal strength is theoretical: value is linked directly to expected economic benefits rather than prevailing market sentiment. However, its reliability depends heavily on assumptions about future cash flows, discount rates, growth, and capital structure. Thus, the model can remain mathematically coherent while producing materially different values when its inputs are uncertain.

CCA instead infers value from market multiples of comparable listed firms, while PTA uses valuation multiples from completed acquisitions (McDougall and Boyle, 2017). Both provide useful market-based counterweights to DCF because they reflect observed pricing and can provide benchmarks when forecasts are uncertain. Their weakness is comparability: firms may differ in growth, leverage, profitability, accounting treatment and risk even within the same industry. Across countries, differences in capital markets, accounting practices and institutional environments make genuine comparability more difficult.

The three methods therefore share a critical assumption: sufficient information exists to estimate value or identify meaningful benchmarks. DCF requires reliable forecasts and risk estimates; CCA requires economically comparable firms; PTA requires transactions whose pricing circumstances remain informative. Cross-border M&A makes each assumption more fragile. The issue is consequently not that traditional methodologies cease to have theoretical value, but that the quality and comparability of their inputs become less certain.

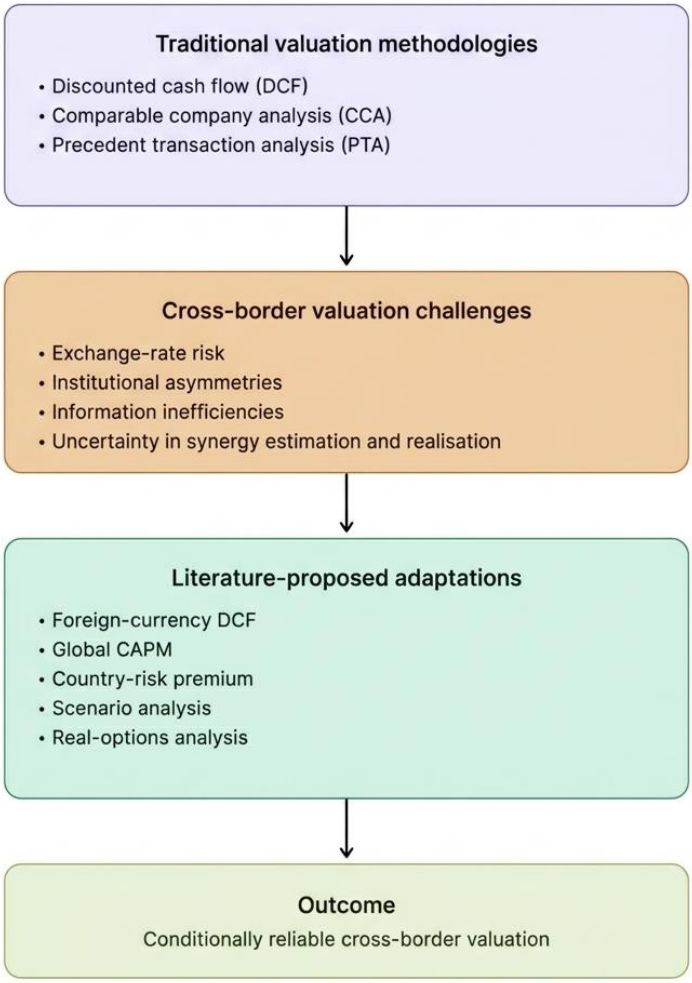


Figure 1. Conceptual Framework for Cross-Border Valuation

3.2 Cross Border Valuation Challenges

Currency risk is the most direct challenge to conventional valuation because international targets generate cash flows in currencies different from that of the acquirer. Simply converting foreign cash flows into the domestic currency can create inconsistencies if exchange-rate assumptions and discount rates are not aligned. Schüler (2021) argues that cross-border DCF requires explicit treatment of foreign-currency cash flows, exchange rates, and risk-adjusted discount rates. The central issue is therefore not whether exchange rates matter, but how they should enter valuation without double-counting or omitting risk.

Institutional asymmetries create a broader challenge. Countries differ in investor protection, corporate governance, taxation, regulation, and legal enforcement. Hitt et al. (2004) emphasize the importance of institutional context in cross-border M&A, while Rossi and Volpin (2004) and Erel et al. (2012) demonstrate that cross-country characteristics influence international acquisition activity. These differences can affect both expected cash flows and the uncertainty surrounding them. Treating institutional risk solely as an additional discount-rate premium may therefore be convenient but theoretically incomplete, because some institutional factors affect operating performance rather than only the required return.

Information inefficiency further weakens conventional valuation. Differences in disclosure quality, accounting practices and market transparency can make forecasts less reliable and reduce the usefulness of international comparators. CCA becomes particularly vulnerable when apparently similar firms operate under different reporting and market conditions. PTA faces a related problem because historical acquisition multiples incorporate deal-specific factors, including market conditions, bargaining power, and expected synergies. International valuation therefore faces a double problem: less reliable information and less confidence that available information is genuinely comparable.

A further challenge concerns the valuation of acquisition synergies, which are embedded in transaction pricing but are inherently more uncertain than standalone cash flows. PTA multiples may incorporate expectations of synergies, yet these expectations are difficult to assess when acquirers and targets operate across different institutional, regulatory and informational environments

(McDougall and Boyle, 2017; Hitt et al., 2004). Information asymmetries can make projected cost savings or revenue gains difficult to verify, while institutional differences may affect the feasibility of achieving them. This creates a further input-uncertainty problem for DCF: even where the model and discount rate are theoretically consistent, overstated synergy assumptions can materially distort estimated transaction value. Synergy valuation therefore reinforces the broader argument that cross-border valuation requires greater scrutiny of inputs, rather than abandonment of traditional methodologies.

Importantly, these risks interact. Currency volatility can amplify uncertainty in projected cash flows; weak institutions can reduce disclosure quality; and limited information can make country-risk estimation itself more uncertain. The literature therefore challenges approaches that treat each risk as an isolated adjustment. The Clifford Chance/EIU report similarly describes cross-border M&A as an environment requiring flexible risk assessment and creative mechanisms to bridge valuation gaps, while highlighting legal, financial, political and cultural risks. Its practitioner perspective supports the relevance of these concerns but does not substitute for peer-reviewed evidence.

3.3 Valuation Adaptations Proposed by The Literature

The literature generally responds to these challenges by adapting traditional methodologies rather than replacing them. The strongest example is foreign-currency DCF. Schüler (2021) develops a framework in which cash flows are valued in the currency in which they arise, with exchange-rate effects and internationally appropriate discount rates incorporated consistently. This preserves the fundamental present-value logic of DCF while recognizing that currency cannot be treated as a simple translation after valuation. Its limitation is practical: exchange-rate expectations and international risk parameters remain difficult to estimate, so greater theoretical consistency does not eliminate forecast uncertainty.

A related adaptation concerns the cost of capital. Schüler (2021) builds on the Global CAPM and considers internationally relevant business, financial and currency risks. Modified WACC approaches similarly seek to incorporate cross-border financing and country-specific risk while retaining the established valuation structure. These approaches are theoretically attractive because they link risk estimation more closely to the international nature of the underlying cash flows. However, their applicability depends on assumptions about market integration and risk pricing that may not hold equally across jurisdictions. Greater sophistication can therefore improve consistency while increasing informational requirements.

Country-risk premiums provide a more practical solution. They allow analysts to incorporate additional sovereign and institutional risk within the discount rate while retaining the familiar DCF structure (Damodaran, 2012). Their attraction is simplicity, but that is also their weakness. Political, regulatory, governance, and legal risks do not necessarily affect value through the same channel, so compressing them into one premium can obscure whether a risk should instead affect projected cash flows. Country-risk adjustments are therefore useful, but not necessarily complete representations of institutional risk.

Scenario and sensitivity analysis offer another response: rather than reducing uncertainty to a single estimate, they examine valuation under alternative assumptions. This is particularly useful when exchange rates, political conditions, or operating forecasts are difficult to predict. However, scenarios do not solve the underlying estimation problem; their value depends on whether the selected scenarios

are plausible and sufficiently broad. They should therefore complement rather than replace core valuation methods.

Real-options analysis provides a more fundamental extension by recognizing that cross-border investments may create managerial flexibility to defer, expand or abandon projects. It can therefore capture strategic value that static DCF may miss. However, its greater modelling complexity and dependence on assumptions about future volatility and managerial decisions limit routine application. Overall, the evidence favors a layered approach: theoretically consistent DCF and discount-rate adjustments at the core, supported by country-risk and scenario analysis, with specialized techniques used where strategic flexibility is material.

Table 1 summarizes how the principal traditional methodologies respond to the specific challenges identified above.

Method	**Core strength**	**Cross-border weakness**	**Relevant adaptation**
DCF	Intrinsic valuation	Currency and risk-estimation uncertainty	Foreign-currency DCF / Global CAPM
CCA	Market benchmark	Cross-country comparability	Careful peer selection and contextual adjustment
PTA	Observed acquisition pricing	Deal and jurisdiction differences	Contextual interpretation and supplementary valuation

Table 1. Comparison of valuation methodologies and adaptations

3.4 Critical Comparison & Synthesis

The literature collectively provides limited support for the claim that traditional valuation methodologies are obsolete in cross-border M&A. Instead, the stronger interpretation is that international transactions expose weaknesses in their assumptions and inputs. This distinction matters: a model can remain theoretically valid while its valuation becomes less precise because forecasts, discount rates, or comparators are more uncertain. The literature therefore points towards **conditional rather than absolute reliability**.

The most convincing adaptations are those that preserve internal consistency. Foreign-currency DCF directly addresses the interaction between cash flows and exchange rates, while internationally appropriate discount-rate models address the corresponding risk dimension. These approaches are theoretically stronger than simply adding an arbitrary premium because they connect the source of uncertainty to the valuation component it affects. Country-risk premiums and scenario analysis remain valuable, particularly in practice, but are more dependent on judgement and can oversimplify multidimensional risks.

A further synthesis is that no single adjustment can resolve the full cross-border valuation problem. Currency risk, institutional asymmetry, and information inefficiency interact rather than operate independently. A higher discount rate cannot correct poor financial disclosure; improved currency modelling cannot resolve weak legal enforcement; and better comparables cannot eliminate political uncertainty. Reliable cross-border valuation therefore requires a combination of methods rather than selection of one universal model.

The principal disagreement in the literature is consequently between theoretical precision and practical feasibility. Sophisticated international frameworks can improve consistency but require information and assumptions that may be unavailable in less transparent markets. Simpler adjustments are easier to implement but risk concealing rather than resolving uncertainty. The most defensible position is therefore that the appropriate adaptation depends on the source and materiality of the underlying risk. This supports incremental refinement of traditional valuation rather than a fundamentally different valuation paradigm.

3.5 Research Gaps

Three gaps remain particularly important. First, the literature is fragmented between financial modelling and international business explanations of institutional risk. More integrated frameworks are needed to connect institutional characteristics directly to cash flows, discount rates and strategic value rather than treating them as a generic country premium.

Second, the interaction between risks remains underdeveloped. Currency, institutional and information risks are often analyzed separately even though they can reinforce one another. Future research should examine how these risks jointly affect valuation uncertainty.

Third, there remains a theory-practice gap. Academic frameworks may offer greater consistency but require assumptions and information that practitioners cannot always obtain within transaction constraints. Research examining how theoretically rigorous adaptations perform across different institutional settings would therefore be valuable.

CONCLUSION

The literature reviewed demonstrates that traditional valuation methodologies remain relevant to cross-border M&A, but their reliability is conditional rather than automatic. DCF, CCA and PTA retain strong conceptual foundations; however, currency differences, institutional asymmetries and information inefficiencies make their assumptions more difficult to satisfy, and their inputs more uncertain. The evidence therefore does not justify abandoning traditional valuation frameworks.

Among the proposed adaptations, foreign-currency DCF and internationally consistent discount-rate approaches provide the most convincing theoretical solutions because they address the underlying sources of valuation inconsistency while preserving the logic of established models (Schüler, 2021). Country-risk premiums and scenario analysis offer useful practical complements, while real-options analysis can add value where managerial flexibility is material. None, however, resolves every cross-border challenge independently.

The overall conclusion is therefore that traditional valuation methodologies remain reliable when treated as adaptable frameworks rather than mechanically applied formulas. Their effectiveness depends on matching each international risk to the valuation input it affects, recognizing uncertainty explicitly and combining complementary methods where necessary. The remaining research gap is not a lack of valuation models, but the absence of a fully integrated framework linking financial, institutional and informational risks across different international settings. The literature consequently supports **refinement rather than replacement** of traditional valuation methodologies.

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